CAR & GENERAL (KENYA) PLC

SUMMARY CONSOLIDATED AUDITED STATEMENTS FOR THE YEAR ENDED 30 SEPTEMBER 2020

COMMENTARY ON RESULTS

The year to September 2020 proved extremely challenging given the impact of Covid 19. Notwithstanding, in spite of significant upheaval throughout East Africa, the Group posted 2% growth in turnover. Q3 was extremely challenging with sales dropping as much as 70% in certain markets. Overall, sales in Kenya dropped 2.5% and sales outside Kenya grew 8.7%. Uganda and Tanzania now represent over 40% of Group sales. Our two wheeler and three wheeler (“tuk tuk”) businesses experienced reasonable growth. Our equipment businesses (namely tractors, construction equipment and forklifts) remained flat.

As a result of the above, turnover for the year ended 30 September 2020 was Shs 12.1 billion against Shs 11.9 billion achieved the previous financial year. EBITDA grew by 33% to Shs 936 million from Shs 705 million. Profit after tax over the same period was Shs 274 million which is 50% higher than Shs 182 million made during the same period last year. Profitability was significantly impacted by forex losses of Shs 82 million resulting from the depreciation of the Kenya Shilling. Our results would have . been significantly better without this.

Our cashflow was reasonably positive, reflecting improved working capital efficiency and operating profitability.

Covid caused great concern during the year and the Group focussed on creating a safe environment for our employees and customers. We encouraged the adherence to all social protocols including working from home, social distancing, provision of masks and other personal protective equipment.

In our finance business, we lengthened loan tenors to reduce daily payments. We embraced the Group's mission of making customers smile in very street every town.

The highlight of the financial year was the volume recovery in Q4 in our consumer businesses particularly in two wheelers and three wheelers which offset the overall economic business contraction. Our equipment business also stabilized.

Our investment in Watu Credit is also performing satisfactorily and driving growth in the consumer segment.

Our investment property business saw a valuation loss of Kshs 52m this year given adverse current market conditions.

We have completed one development, Nairobi Mega, on Uhuru Highway which opened on 10th June 2020. The anchor tenant is Carrefour. We have commenced the planning of a second development in Shanzu, Mombasa. We continue to review the property portfolio to ensure it generates satisfactory returns.

Going forward, we believe uncertainty will persist in 2021 given the continuing impact of Covid 19 on the business environment. Key to success will be higher efficiency levels in all areas of our business, maintaining market share in core products and achieving satisfactory profitability across all businesses.

We now have a more balanced business with four distinct business lines being automotive and equipment distribution, real estate investment, financial services and poultry. This diversity builds sustainability and we are confident that each line offers scope for growth.

Final Dividend

The Directors have resolved to recommend to shareholders at the Annual General Meeting to be held on Thursday, 25th March 2021 that a FINAL DIVIDEND of Shs 0.80 per share on the Issued Share Capital be declared payable to those registered at the close of business on Monday, 22nd February 2021. The total dividend will amount to Shs 32,082,646/- (2019: Shs 32,082,646/-). Subject to approval by shareholders, the dividend is to be paid on or about 25th March 2021.

Annual General Meeting

The Annual General Meeting of the Company is scheduled to be held on Thursday, 25th March 2021. The details of the Annual General Meeting will be communicated at a later date.

By Order of the Board
Nalin Kothari
Company Secretary
26 January 2021

Independent Auditors' Report on the Summary Consolidated Financial Statements

To the Shareholders of Car & General (Kenya) PLC

Opinion

The summary consolidated financial statements of Car & General (Kenya) Plc, which comprise the summary consolidated statement of financial position as at 30 September 2020, and the summary consolidated statements of profit or loss and other comprehensive income, summary statement of changes in equity and summary statement of cash flows for the year then ended, are derived from the audited consolidated financial statements of Car & General (Kenya) Plc for the year ended 30 September 2020.

In our opinion, the accompanying summary consolidated financial statements are consistent, in all material respects, with the audited consolidated financial statements of Car & General (Kenya) Plc, and in accordance with the requirements of the Capital Markets (Securities) (Public Offers, Listings and Disclosures) Regulation, 2002 ("the Regulations") as applicable to summary financial statements.

Summary Consolidated Financial Statements

The summary consolidated financial statements do not contain all the disclosures required by the International Financial Reporting Standards and the requirements of the Kenyan Companies Act, 2015 as applicable to annual financial statements. Reading the summary consolidated financial statements and the auditors' report thereon, therefore, is not a substitute for reading full set of the audited consolidated financial statements of Car & General (Kenya) Plc and the auditors' report thereon.

The Audited Consolidated Financial Statements and Our Report Thereon

We expressed an unmodified audit opinion on the audited consolidated financial statements in our report dated 26 January 2021. That report also includes the communication of a key audit matter related to valuation of investment properties and land and buildings included in property, plant and equipment, as reported in the auditors' report on the audited financial statements. Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the consolidated financial statements of the current period.

Directors' Responsibility for the Summary Consolidated Financial Statements

The Directors are responsible for the preparation of the summary consolidated financial statements in accordance with the requirements of the Capital Markets (Securities) (Public Offers, Listings and Disclosures) Regulation, 2002 Requirements as applicable to summary financial statements.

Auditor's Responsibility

Our responsibility is to express an opinion on whether the summary consolidated financial statements are consistent, in all material respects, with the consolidated audited financial statements based on our procedures, which were conducted in accordance with International Standard on Auditing (ISA) 810 (Revised), Engagements to Report on Summary Financial Statements.

The engagement partner responsible for the audit resulting in this independent auditors' report is CPA Fredrick Okwiri - P/No 1699.

Deloitte & Touche
Certified Public Accountants (Kenya)
Deloitte Place
Waiyaki Way, Muthangari
P O Box 40092 - 00100
Nairobi, Kenya

26 January 2021

SUMMARY CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE YEAR ENDED 30 SEPTEMBER 2020

	2020 Sh '000	2019 Sh '000
Revenue	12,117,976	11,907,237
Gross profit	1,950,775	1,692,103
Other income	131,866	119,695
Loss/(gain) in fair value of investment properties	(50,452)	117,250
Impairment provision for Financial Assets	1,163	7,717
Operating expenses	(1,333,500)	(1,373,450)
Share of profit in an associate	247,452	151,560
Share of (loss) in a joint venture	(10,324)	(9,753)
Earnings before interest, taxes, depreciation & Amortization (EBITDA)	936,980	705,122
Finance costs	(612,883)	(522,785)
Depreciation of property, plant and equipment	(89,278)	(77,050)
Amortization of intangible assets	(4,557)	(5,964)
Depreciation of right of use asset	(100,423)	-
Profit before taxation	129,839	99,323
Taxation credit	144,295	83,036
Profit for the year	274,134	182,359
Other comprehensive income for the year	84,754	70,439
Total comprehensive income for the year	358,888	252,798
	Sh	Sh
Earnings per share - basic and diluted	6.85	4.27

SUMMARY CONSOLIDATED STATEMENT OF FINANCIAL POSITION AS AT 30 SEPTEMBER 2020

	2020 Sh '000	2019 Sh '000
ASSETS		
Non-current assets		
Investment properties	3,509,690	3,472,754
Property, plant and equipment	1,784,105	1,650,715
Right of Use Asset	566,702	-
Other non-current assets	1,090,967	810,445
	6,951,464	5,933,914
Working Capital		
Current assets	4,952,022	5,840,210
Current liabilities	(5,721,837)	(6,646,970)
Total net assets	6,181,649	5,127,154
EQUITY AND LIABILITIES		
Capital and reserves		
Share capital	200,516	200,516
Reserves and retained earnings	3,520,302	3,193,003
Non-controlling interests	218,502	218,995
Total equity	3,939,320	3,612,514
Non-current liabilities		
Deferred tax liabilities	741,025	881,287
Due to related parties	165,266	159,205
Lease liabilities	478,320	-
Borrowings	857,718	474,148
	2,242,329	1,514,640
Total equity and non current liabilities	6,181,649	5,127,154

SUMMARY CONSOLIDATED STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 30 SEPTEMBER 2020

	Share capital Shs'000	Reserves and retained earnings Shs'000	Non-controlling interests Shs'000	Total Shs'000
Year ended 30 September 2019				
At 1 October 2018 - as previously reported	200,516	3,195,716	207,734	3,603,966
Day 1 impairment losses under IFRS 9 on group financial assets net of deferred tax	-	(212,168)	-	(212,168)
At 1 October 2018 - restated	200,516	2,983,548	207,734	3,391,798
Profit for the year	-	171,098	11,261	182,359
Other comprehensive income	-	70,439	-	70,439
Dividend paid - 2018	-	(32,082)	-	(32,082)
At 30 September 2019	200,516	3,193,003	218,995	3,612,514
Year ended 30 September 2020				
At 1 October 2019	200,516	3,193,003	218,995	3,612,514
Profit for the year	-	274,627	(493)	274,134
Other comprehensive income	-	84,754	-	84,754
Dividend paid - 2019	-	(32,082)	-	(32,082)
At 30 September 2020	200,516	3,520,302	218,502	3,939,320

SUMMARY CONSOLIDATED STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 30 SEPTEMBER 2020

	2020 Sh '000	2019 Sh '000
Profit before taxation	129,839	99,323
Net cash generated from/(used in) operating activities	1,451,129	(762,643)
Net cash used in investing activities	(221,183)	(381,636)
Net cash (used in)/generated from financing activities	(1,082,858)	1,160,602
Net increase in cash and cash equivalents	147,088	16,323
Cash and cash equivalents at the beginning of the year	79,380	61,817
Effects of exchange rate changes on the balance of cash held in foreign operations	3,311	1,240
Cash and cash equivalents at the end of the year	229,779	79,380

CELEBRATING

YEARS